



Expect
More.

Fiscal Forecast

**Presented to the School Board
Jan. 20, 2026**

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Influencing Factors

- Priority-Based Budgeting framework – aligning resources to strategic plan priorities
- Enrollment changes
- Inflation
- Fiscal year-end projected vs. actual revenue, expenditures and fund balance
- Contractual settlements
- Legislative changes can impact revenue and/or expenditures
- Funding that is one-time only, or expires after a given time period



Enrollment Projections

	2026-27	2027-28	2028-29
K-12 Budgeted	8,081	8,162	8,243
K-12 Operational	8,238	8,394	8,525

General Fund Fiscal Forecast Assumptions: Revenue (in millions)

Current fiscal year (FY26) is the baseline budget year

Revenue Category	FY26 Revised Budget	FY27 Projected	Difference	Projection Assumptions
State Aid <i>(excluding Comp Ed, Sped, EL)</i>	\$74.9	\$76.8	\$1.9	Projected 2.7% increase to general ed. basic aid formula for FY27
Compensatory Education	1.9	1.8	-0.1	Projected revenue is pending FY27 formula recommendations from the 2025 Legislative session Compensatory Ed working group
Special Education	23.6	25.4	1.8	Projection includes current law – pending outcomes from the 2025 Legislative session Special Education funding working group
English Learner (EL)	0.5	0.7	0.2	Projection includes EL cross-subsidy revenue
Levy	46.6	45.3	-1.3	Based on the certified Pay 2026 levy, current law & projected enrollment
Federal	2.3	2.3	0.0	Projection assumes similar funding for FY27
Other	<u>4.1</u>	<u>3.7</u>	<u>-0.4</u>	Projection is lower than FY26 levels (includes student activity funds, athletics, interest, grants)
Total	\$153.9	\$156.0	\$2.1	



General Fund Fiscal Forecast Assumptions: Expenditures (in millions)

Current fiscal year (FY26) is the baseline budget year

Expenditure Category		FY26 Revised	FY27 Projected	Difference	Projection Assumptions
Salaries		\$75.9	\$79.2	\$3.3	Assuming current FY26 staffing levels as of 7/1/25, negotiated agreements, (steps and lanes, where applicable), COLA % included
Benefits	FICA, PERA, TRA	12.0	12.7	0.7	Employee benefit costs (assuming FY26 staffing levels and negotiated agreements)
	Health & Dental Insurance	17.6	19.3	1.7	
	Paid FMLA	0.2	0.4	0.2	
	OPEB	1.0	1.6	0.6	
	Work Comp, Life, TSA, VEBA, other	<u>6.3</u>	<u>6.9</u>	<u>0.6</u>	
		37.1	40.9	3.8	
Purchased Services		28.3	29.1	0.8	Cost of inflation included in projections Includes utilities & insurance
Supplies, Materials, Other		<u>12.6</u>	<u>12.3</u>	<u>-0.3</u>	Cost of inflation included in projections
Total		\$153.9	\$161.5	\$7.6	



General Fund Fiscal Forecast FY27-FY29 (in millions)

	FY26 Revised Budget	FY27 Projected	FY28 Projected	FY29 Projected
Revenue	\$153.9	\$156.0	\$158.4	\$161.4
Expenditures	-153.9	-161.5	-168.5	-175.7
Surplus/(Shortfall)	\$0.0	\$-5.5	\$-10.1	\$-14.3

**Worst Case
Scenario:**
*If we do
nothing*

FY27-FY29 Projected Shortfall amounts reflect a cumulative impact over a 3-year period



Three Most Significant Cost Drivers

- Employee salaries and benefits
- Transportation
- Special Education



What We're Already Doing

- Insurance contributions cost containment
- Soft hiring freeze
- Transportation efficiencies
- High school strategic investments
- Recruitment and marketing efforts
- Employee negotiations



Implications for Employee Negotiations

- Financial reality limits new ongoing commitments
- Compensation discussions must be:
 - Affordable
 - Sustainable
 - Aligned with long-term stability
- District priority is protecting student learning



Identifying Cost Savings (Next 3 Years)

- Multi-year planning
- Areas of focus:
 - Program alignment and scale
 - Staffing models: Aligning staffing to student enrollment
 - Operational efficiencies
 - Special Education efficiencies
- Decisions phased to minimize disruption



Potential Revenue-Generating Opportunities

- **Local optional revenue:**

Proposed legislation would increase current LOR of \$724/pupil to \$947/pupil = \$2 million annually

- **Voter approved levy:**

Could generate an additional \$448/pupil = approximately \$4 million annually



Next Steps

February:

- Board work session on Priority-Based Budgeting (PBB) with focus on cost mitigation

March:

- Board work session on fiscal priorities with identified dollar amounts
- Board meeting to include staffing adjustments

April/May:

- Board meetings to include PBB updates

June:

- Board meeting to include approval of 2026-27 preliminary budget



Questions